How the Etter Value Model works

Every step, formula and assumption, left to right. Numbers are Moderate, Attrition only, cross-industry, Etter FP&A data, agent ceilings 90% / 80% (set by Chandan, 23 Oct 2026). Rust = the cash path (fewer positions). Green = the capacity path (time back). Blue = hires avoided against a growth plan. A line in the box colour marks a formula.

1 WHAT GOES IN

Etter Tasks sheet

420 tasks across 11 roles. For each task: the **role**, its **workload** (a group of related tasks), its **category** (one of six) and the **hours one person spends on it a month**.

Why this sheet: every task has its own hours, category and description, so every number traces back to a named task. Etter's Workloads sheet splits the same hours differently across categories; still an open question for Etter.

Etter Roles sheet + client

For each role: **headcount** (1,523 in total), **average base salary** and **level**, which maps to a turnover band.

Etter's own automation score for each role is compared with the task hours as a second opinion (flagged if more than 10 points apart), never mixed into the numbers.

Four choices, then the dials

The client picks a **scenario**, a **policy** for freed time (box 5), an **industry**, and whether to include **assistant seats**. Every other number sits on Inputs with a source and a grade: A official figure, B benchmark, C estimate, D thin evidence.

Uncertain dials switch together by scenario:

Dial	Cons.	Mod.	Aggr.
AI takeover	25%	40%	60%
Human review	40%	30%	20%
Months to full use	18	12	6
Assistant active use	55%	70%	85%
Cost multiplier	1.25	1.00	0.90

Industry packs change only the discount rate, staff turnover and job growth (healthcare 6.19%, ×0.91, 0.9%; insurance 6.34%, ×0.59; tech 9.34%, ×0.59; default 6.96%, ×1.00, 0%). Company size enters as headcount, not as a setting.

2 COST OF AN HOUR, KIND OF WORK

Loaded hourly rate

> hourly rate = salary × 1.31 ÷ (12 × task hours a month)

1.31: of every $100 an employer spends on a full-time private-industry worker, $68.50 is wages and $8.10 paid leave (BLS ECEC, Table 5). A salary already pays for leave days, so 100 ÷ (68.5 + 8.1) = 1.31.

160 hours a month (1,920 a year), the Etter file's convention. Senior Analysts' tasks cover 136; shares are taken of the hours recorded.

Example, Analysts: $79,661 × 1.31 = $103,997 a year ÷ 1,920 = $54.17 an hour.

Sort by category

Category	Most AI could do	Kind
Directive	**90%**	Agent
Feedback Loop	**80%**	Agent
Task Iteration	45%	Assistant
Learning	25%	Assistant
Validation	50%	Assistant
Negligibility	0%	Human

An **agent** does the work instead of the person, so its time can become fewer positions. An **assistant** makes the person faster, so its time is spread thin and stays as capacity by default.

By job band

Band	Assistant saving	Leaving rate / yr
Para-professional	20%	12.5%
Professional	12%	9.1%
Management	6%	6.3%
Executive	3%	5.2%

Assistants help juniors most (Brynjolfsson, Li and Raymond, QJE 2025). Leaving rates: Mercer 2025, × the industry's turnover factor (BLS JOLTS quits).

3 WHAT AI COULD DO, WHAT TO BUILD

Agent work (Directive, Feedback Loop)

> AI-able hours = hours a month × headcount × most AI could do

Example, Analysts' Extract and format financial data: 8.64 × 310 × 90% = 2,411 hours a month (28,927 a year).

Is the AI cheaper than the work?

One agent per workload (59 have agent tasks), shared by every role that does it, priced two ways:

Build: $55,000, or $130,000 if 2+ roles or 3+ agent tasks; $3.48 per AI hour; 18% a year upkeep. **Buy:** $15,000 / $35,000; $6 per AI hour.

> value a month = AI-able hours × hourly rate
> NPV at cost = (value × 28% − running − upkeep) × 42.5 − up front

The cheaper option is kept; the workload passes if its NPV is above zero. **42.5:** months of full value in five years after the 3-month build, the 12-month ramp-up and 6.96% discounting.

Financial analysis and reporting: 5 roles, $1,016,529 of work a month; build $10.73M vs buy $10.06M, so build. Cost review planning and support: $3,850 a month; buy, +$11,953, passes but ranks last.

How big a programme

Passing workloads are ranked by return per dollar up front and added one at a time. The programme stops where **five-year cash peaks**: **45 of 59** (35 bought, 10 built, $1.29M up front).

The cost test values freed time at full cost; cash counts only whole positions. Late, small workloads free fractions of people that never round up.

Go-live: pilot of the top 3 in month 3, a 6-month evaluation, then waves of 10 in months 12, 15, 18, 21 and 24.

Assistant work (Task Iteration, Learning, Validation)

> hours saved = hours × smaller of (most AI could do, band saving) × 70% active use

Seats roll out from month 2 over 6 months, $360 a seat a year. Example, Analysts' Develop custom financial analyses: 21,427 × 12% × 70% = 1,800 hours.

Stays human (Negligibility): no saving

4 WHAT AI REALLY FREES

AI takes over, people check it

> hours freed = AI-able hours × takeover × (1 − review)

Takeover 40%: the share of AI-able work the agent actually ends up doing (range 20–62%, grade C). **Review 30%:** for every 100 hours it does, people spend 30 checking (15–45%, C).

40% × 70% = **28% net realisation**, the one number the answer turns on. Running cost is paid on all hours the AI works, reviewed or not.

Example: 28,927 × 40% = 11,571 AI hours; × 70% = 8,099 hours freed a year.

Ramped in, wave by wave

> use in month m = S-curve from go-live, full after 12 months

The same curve drives the cost test, the running cost and the savings (MIT NANDA 2025: 6 to 24 months).

The work left behind is harder

> freed × (1 − 0.30 × share of the role's time freed)

Complexity drag, applied to agent and assistant time together. Grade D: a simple stand-in for the exception tail until Etter gives volumes or handling times.

Analysts free about 14% of their time, so they keep 96%: 8,099 becomes 7,769 hours, 4.0 people's worth.

Why AI-able hours are not headcount

All roles, month 60	People's worth
Hours in agent categories	563.7
× most AI could do	482.0
In the 45 workloads	460.9
× 40% takeover	184.4
× 70% after review	129.0
After complexity drag	124.1
Positions not refilled	**59**

Plus 52.3 people's worth from assistants. 176 freed in all.

5 WHERE EACH FREED HOUR GOES

Policy: the company's choice

	Capacity only	Attrition only	Active reduction
Agent time to positions	0%	**50%**	75%
Assistant time	0%	**0%**	25%
How	nobody goes	as people leave	2 months' notice, 12 weeks' severance

The harvest share moves cash more than any other input (−$1.4M at 25% to +$20.5M at 75%). Healthcare defaults to capacity only.

Cash: positions not refilled

> target = (harvest × freed people), rounded down, per role

> people who have left by month m = headcount × (1 − (1 − yearly rate)$^{m \div 12}$)

> positions in month m = smaller of (target × progress so far) and (people who have left)

A removed position never comes back and never exceeds the time freed. 0.6 of a Director is not a budget line, so a role needs roughly 20–30 people before agents free a whole position.

Example, Analysts: 28.1 freed by agents × 50% = 14.0, so 14. 118 Analysts leave in five years: "leave 14 of the next 118 leavers unreplaced". All roles: 59 positions, 3.9% of FP&A, by month 36.

Hires avoided: against the plan

> avoided = smaller of (spare whole people, planned hires so far)

Only if the industry is growing: spare freed time fills planned hires before it becomes capacity. FP&A default has 0% growth, so 0. Healthcare pack: 65 hires avoided.

Capacity: time back

> capacity hours = freed − positions × hours − hires avoided × hours

Valued at the hourly rate. 117 people's worth at month 60. Checked every month: positions + hires avoided + capacity = hours freed, with a gap of zero.

6 MONEY, ODDS AND THE DECISION

Costs, five-year present value

Training: $846 + 16.7 hours, each of 1,523 people (ATD 2026)	$3.05M
Running: $3.48 / $6 per AI hour, 13% cheaper a year	$2.67M
Assistant licences: $360 a seat a year	$1.48M
Build or buy, spread over the 3-month lead	$1.20M
Programme: $75,000 + $623 per person (Forrester)	$1.02M
Upkeep of custom agents: 18% a year	$0.41M
Total (severance only under active reduction)	**$9.84M**

Three kinds of money, never added

> each month's money × 1.0696$^{-m \div 12}$, added up over 60 months

Salaries no longer paid (× 1.31)	$18.89M
Recruiting avoided ($4,700 per leaver not replaced) + seats	$0.33M
minus costs	$9.84M
Cash vs today, NPV	**$9.38M**
Hires avoided vs plan	$0
Capacity at cost	$47.7M

Payback month 33; peak funding $4.4M. If nobody leaves, cash is −$10.14M against $67.3M of capacity: **15%** of that time must become real value to break even.

How sure: 1,000 futures

Each run draws takeover, review, adoption, active use, costs, drag and turnover from their ranges; good programmes are good at everything at once (correlation 0.5). Fixed seed, so the same answer every time.

75% chance cash is positive · P10 −$4.2M · P90 +$21.2M

Break-even: **14.3%** net realisation (we assume 28%).

The decision

Go at 70% or better, pilot first at 40–70%, stop below 40%.

GO phased rollout: the top 3 go live first and are evaluated for six months before the waves. Watch takeover, checking time, adoption speed and real costs against the 14.3% break-even.

Conservative −$1.0M (30%) · Aggressive +$25.0M (97%) · Active reduction +$22.6M (97%).

Checks: twenty tie-outs to the Etter file (tasks, headcount, payroll, hours) and self-checks, all pass; the Excel matches the reference engine to the cent. Sources: Etter FP&A task file; BLS ECEC and JOLTS; Brynjolfsson, Li and Raymond (2025); Mercer 2025; MIT NANDA 2025; Damodaran 2026; Microsoft; Forrester; ATD 2026; SHRM.